

WARCHEST

A Self-Building Treasury, Governed by Conviction

Short Pitch

WARCHEST is a token where every trade feeds a shared treasury, and every holder's influence over that treasury grows the longer they hold. Hold for ten days and your voting weight caps out at ten times your raw supply share. Sell, and only the sold portion loses its seniority. The result: a token designed to reward conviction, not just capital size.

1 The Problem

Most tokens with a treasury mechanism fall into one of two traps. Either the treasury is controlled entirely by the founding team, which holders simply have to trust, or it is governed by plain token-weighted voting, which lets a wallet that bought five minutes ago carry the same weight as a holder who has stayed through every dip. Neither rewards the behavior a healthy token actually needs: people holding through volatility instead of flipping for a quick profit.

2 How It Works

2.1 The Fee

Every buy and sell pays a 10 percent fee. This is not a transfer tax baked into the token contract, the design that famously broke in 2021 (SafeMoon and similar) and is known to be incompatible with modern Uniswap v3/v4 concentrated-liquidity pools. Instead, the fee is collected through a custom Uniswap v4 hook at the moment of the swap itself, a pattern already validated in live production on Robinhood Chain by comparable projects.

2.2 Holder Levels

Every wallet's holding is tracked through daily snapshots. Each consecutive snapshot in which a wallet is detected as a holder advances it one level, from level 1 after one day held to level 10 after ten consecutive days, a hard ceiling. Selling resets seniority only on the portion sold: the most recently acquired tokens are considered sold first, so trimming a position never wipes out the seniority earned on the rest.

2.3 Voting Weight

Voting power equals holding size multiplied by level. A wallet holding 1 percent of supply at level 10 votes with the weight of 10 percent of supply; the same 1 percent at level 1 votes with only 1 percent. Influence is earned, not bought outright.

3 What the Treasury Does

3.1 Phase 1 — Directional Trading

The treasury takes leveraged long or short positions on Hyperliquid. Each cycle, a closed list of eligible assets (for example BTC, ETH, SOL) is proposed, and holders vote, weighted by level, on

which asset and direction to take. Leverage is fixed in advance to keep liquidation risk controlled and is not itself put to a vote. No single trade can commit more than a fixed share of the treasury. Positions close either automatically, through non-negotiable stop-loss rules, or voluntarily through a holder vote once a profit threshold is reached. Realized profit is distributed automatically, in proportion to each holder's level.

3.2 Phase 2 — Beyond Trading

Once Phase 1 has run and proven itself, the same level-weighted voting system extends to new treasury uses: real-world-asset allocations, DeFi partnerships, other yield strategies. Phase 2 has no fixed weekly calendar — that kind of integration typically takes weeks of external diligence — so WARCHEST will communicate direction rather than promise specific dates, and will announce a new mechanism only once it is genuinely ready.

4 What We Are Not Hiding

- **Leverage cuts both ways.** Losing trades reduce the treasury; profit distributions only occur above the treasury's prior high-water mark.
- **Execution requires a trusted operational bot.** Positions on Hyperliquid are placed by an automated keeper using a trading-only agent wallet with no withdrawal rights — this reduces, but does not fully eliminate, operational trust in that keeper.
- **Community votes are not guaranteed to beat the market.** A level-weighted vote reflects conviction, not necessarily trading skill; this is a deliberate trade-off in favor of legitimacy and decentralization over pure predictive edge.
- **Regulatory posture.** A mechanism where a fee-funded treasury is traded and profits are redistributed to holders based on holding duration sits closer to a collective-investment pattern than a simple reward token, in some jurisdictions. This is a genuine open question, not a solved one, and will shape how the project is structured and communicated going forward.
- **This is real engineering, not a weekend build.** A custom token contract and a custom Uniswap v4 hook both require dedicated auditing before mainnet.

5 Roadmap

1. Token contract and Uniswap v4 fee hook: build and audit.
2. Governance contract (levels, voting) and treasury vault: build, kept as two separate contracts.
3. Hyperliquid keeper: build, test extensively on testnet before any mainnet capital.
4. Mainnet launch, Phase 1 live.
5. Phase 2 scoping begins once Phase 1 is proven in the wild.